

CASE ID: 201803710002b

EPISODE NAME: List 1 Retaliation

2018/03/22 - Ongoing

Sender: China (710)

Target: United States (2)

Issue: Retaliation (16)

Final Outcome: Ongoing

Summary:

On 2018/03/22, China threatened the United States with retaliation in response to the Trump administration's announcement of \$50 billion worth of tariffs on Chinese imports earlier the same day. On 2018/07/06, the same day that the US imposed a revised list of tariffs on \$34 billion worth of Chinese imports, China began to impose its own tariffs on \$34 billion in US imports. These tariffs are still in place.

Narrative:

On 2018/03/22, China threatened the United States with retaliation after The Trump Administration announced \$50 billion worth of tariffs on Chinese imports earlier the same day.¹² A spokesperson from the Chinese foreign ministry reportedly said that the country would "take all legal measures to protect [China's] interest" if the US moved forward with the tariffs.³ The cost of China's retaliation on the US was expected to be high, with stocks tumbling following the announcement.⁴

Another round of threats was issued after the US announced a potential list of tariffed products on 2018/04/03.⁵ China responded on 2018/04/04 with a list of 106 American imports amounting to a reciprocal \$50 billion, including soybeans, cars and whisky.⁶ When the US winnowed its tariff list down to \$45 billion on 2018/06/15, China did the same.⁷

After the final list of \$34 billion worth of US sanctions was officially imposed on 2018/07/06, China began enforcing reciprocal tariffs the same day.⁸ The largest group of products targeted

¹ Haas, Benjamin, Ben Jacobs, and Edward Helmore. "US imposes sanctions on China, stoking fears of trade war." *The Guardian*, 22 March 2018. <https://www.theguardian.com/world/2018/mar/22/china-us-sanctions-trade-war>

² Diamond, Jeremy. "Trump hits China with tariffs, heightening concerns of global trade war." *CNN*, 23 March 2018. <https://www.cnn.com/2018/03/22/politics/donald-trump-china-tariffs-trade-war>

³ Haas, Benjamin, Ben Jacobs, and Edward Helmore. "US imposes sanctions on China, stoking fears of trade war." *The Guardian*, 22 March 2018. <https://www.theguardian.com/world/2018/mar/22/china-us-sanctions-trade-war>

⁴ *Ibid.*

⁵ Moyer, Liz and Jacob Pramuk. "US names Chinese products under proposed tariffs, including robotics, information tech and aerospace." *CNBC*, 3 April 2018. <https://www.cnbc.com/2018/04/03/us-names-chinese-products-under-proposed-tariffs.html>

⁶ Tan, Huileng and Seema Mody. "China's ambassador to the US explains why the country is striking back." *CNBC*, 4 April 2018. <https://www.cnbc.com/2018/04/03/chinese-ambassador-to-us-we-will-take-measures-to-fight-back-very-soon.html>

⁷ Bown, Chad, Euijin Jung, and Zhiyao Lu. "China's Retaliation to Trump's Tariffs." *Peterson Institute for International Economics*, 22 June 2018. <https://www.piie.com/blogs/trade-and-investment-policy-watch/2018/chinas-retaliation-trumps-tariffs>

⁸ Tan, Weizhen. "Trade War begins: US and China exchange \$34 billion in tariffs." *CNBC*, 6 July 2018. <https://www.cnbc.com/2018/07/06/trade-war-worries-us-china-tariffs-to-kick-in-on-friday.html>

were agricultural, including soybeans (\$12.4 billion), cereal (\$1.3 billion), and fish (\$1.2 billion).⁹ These tariffs resulted in a 75% decrease in soybean exports to China, causing prices to fall to a seven-year low, and posing a significant disruption to the agricultural sector.¹⁰

The episode is part of a larger campaign of economic coercion that began on 2018/03/01, when the United States announced it would impose global steel and aluminum tariffs.¹¹ The two countries eventually traded four lists of tariffs.

These tariffs remain in place and the episode is ongoing.

⁹ Bown, Chad, Euijin Jung, and Zhiyao Lu. "China's Retaliation to Trump's Tariffs." *Peterson Institute for International Economics*, 22 June 2018.

<https://www.piie.com/blogs/trade-and-investment-policy-watch/2018/chinas-retaliation-trumps-tariffs>

¹⁰ Perano, Ursula. "U.S. farmers fight to save Chinese soybean relationships." *Axios*, 4 Jul 2019.

<https://www.axios.com/2019/07/04/soybeans-trump-trade-war-china>

¹¹ Swanson, Ana. "Trump to Impose Sweeping Steel and Aluminum Tariffs." *New York Times*, 1 March 2018.

<https://www.nytimes.com/2018/03/01/business/trump-tariffs.html>